

Permitting Reform Is Capital Policy: The Real Estate Cost Hidden in Regulatory Delay

Sen. Armstrong's argument reveals that regulatory bottlenecks, not capital scarcity, are the binding constraint on new supply.

The most important line in Senator Alan Armstrong's argument about lowering housing and energy costs is not about spending. It is about time. Permitting reform, as the Oklahoma Republican frames it, is not a regulatory nicety. It is the single most effective lever to reduce costs because it attacks the bottleneck that turns capital into stranded risk: the years-long gap between a development decision and a certificate of occupancy.

For commercial real estate capital markets, this is not a political talking point. It is a structural constraint on supply, a hidden tax on development returns, and a variable that lenders and equity investors are already pricing into underwriting. Senator Armstrong's argument, made on Bloomberg This Weekend, is that additional federal spending is not the answer.

The answer is removing the regulatory delays that create infrastructure bottlenecks and drive up prices for consumers. The logic applies directly to housing and commercial development. Consider what permitting delay does to a development pro forma. Every month of regulatory uncertainty extends the carry period, increases interest expense, raises the probability of cost overruns, and pushes the stabilized yield further into the future.

For a developer financing a project with floating-rate construction debt, a six-month permitting delay can wipe out the equity return before a single foundation is poured. This is not a theoretical risk. It is the reason institutional capital has become more selective about development commitments. Lenders underwrite not just the project economics but the jurisdiction's permitting track record. Equity investors demand a premium for regulatory uncertainty.

The cost of that premium shows up in higher rents and higher home prices. The capital market signal in Senator Armstrong's argument is this: the binding constraint on new supply is not the availability of debt or equity. It is the speed at which capital can be deployed into productive assets.

When permitting takes three years instead of one, the capital stack compresses returns, increases risk, and ultimately reduces the volume of new development that gets financed. Who benefits from permitting reform? Developers, obviously. But also lenders who want shorter construction loan durations, equity investors who want faster exits, and tenants and homebuyers who face less supply-driven price pressure.

The biggest beneficiaries may be institutional capital allocators who have been reluctant to commit to development because the timeline uncertainty makes return projections unreliable. Who is exposed? Jurisdictions that maintain slow permitting processes will see capital flow elsewhere. Developers who have built their business models around regulatory arbitrage will lose their advantage.

And any owner holding existing assets in markets where new supply is artificially constrained by permitting delays should watch carefully: if reform accelerates, the scarcity premium embedded in those assets may compress. The market should watch whether Senator Armstrong's argument gains traction in federal policy. But the more immediate signal is for state and local governments. Capital is mobile. Permitting timelines are not.

The jurisdictions that reform first will capture development activity and the economic benefits that come with it. Senator Armstrong is not making a capital markets argument. But the capital markets are already making one for him. The cost of delay is embedded in every development pro forma, every construction loan spread, and every rent check. Removing that cost is not just good policy. It is the most effective capital formation strategy available.

About Us

Light Tower Group is a commercial real estate capital advisory firm helping owners, developers, and investors structure and source debt, preferred equity, joint venture equity, and other institutional capital solutions.

We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

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